(a) Where they have acted ultra-vires the company

For example, where they apply the funds of the company to objects not specified in the memorandum of association or when they pay dividends out of capital.

(b) Where there is a breach of trust

Directors being the trustees of the company, they should discharge their duties in the best interest of the company; Where they commit a breach of trust resulting in a loss to the company, they are bound to make good the loss. For example, where the directors of the companies utilise company's property for their own benefit, they are guilty of breach of trust.

(c) Misfeasance

Directors are liable to the company for misfeasance. The word misfeasance covers willful negligence. However mere failure on the part of the director to take necessary steps for recovery of debts due to the company does not constitute misfeasance.

3. Criminal liabilities of directors:

Directors will be liable with a fine and imprisonment or both for fraud of non-compliance of any statutory provisions in the following situations where

(i) There is mis-statement in Prospectus

(ii) There is failure to file return on allotment with the registrar

(iii) There is failure to give notice to the registrar for conversion of share into stock

(iv) There is failue to issue share Certificate and Debenture certificate

(v) There is failure to maintain register of the members and register of debenture holders

(vi) There is default in holding Annual General Meeting

(vii) There is failure to provide Financial Statements

27.16 Directorial Register or Register of directors and KMPs (Rule 17)

In corporate law, the **directors register** refers to a list of the **directors** elected by the shareholders, generally recorded in the company's minute book. By law, companies are required to keep this list up to date to remove those directors who are deceased or resign, and to add those who have been elected by the shareholders.

(1) Every company shall keep at its registered office a register of its directors and key managerial personnel containing the following particulars, namely:—

(i) Director Identification Number (optional for key managerial personnel);

(ii) present name and surname in full;

(iii) any former name or surname in full;

(iv) father's name, mother's name and spouse's name(if married) and surnames in full;

(v) date of birth;

(vi) residential address (present as well as permanent);

(vii) nationality (including the nationality of origin, if different);

(viii) occupation;

(ix) date of the board resolution in which the appointment was made;

(x) date of appointment and reappointment in the company;

(xi) date of cessation of office and reasons therefor;

(xii) office of director or key managerial personnel held or relinquished in any other body corporate;

(xiii) membership number of the Institute of Company Secretaries of India in case of Company Secretary, if applicable; and

(xiv) Permanent Account Number (mandatory for key managerial personnel if not having DIN);

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